

Notes: Besley and Prat (AER, 2006)

Handcuffs for the Grabbing Hand? Media Capture and Government Accountability

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1 Big picture

1.1 Main question

The paper asks whether formal freedom of the press is enough to make the media an effective check on government. The answer is no: even when censorship is legally prohibited, the government may still influence news content by maintaining a “cozy” relationship with media owners. The paper studies when this kind of noncoercive media capture is possible and how it affects elections, corruption, and political turnover.

1.2 Core answer

The central mechanism is simple. If the media uncover verifiable bad news about an incumbent, the incumbent can try to buy silence. However, to suppress the news, the incumbent must silence *all* outlets that could reveal it. Therefore, the cost of capture rises with the number of independent outlets and with the commercial value of being the outlet that breaks a major story. Capture is easier when the rents from staying in office are high and when the transaction cost of transferring resources from government to media owners is low.

1.3 Why the paper matters

The paper provides a formal link between media-market structure and political accountability:

- More media plurality makes capture harder.
- Media ownership matters because it changes the transaction cost of political influence.
- A captured media market reduces voter information, lowers political turnover, and permits bad incumbents to survive in office.
- Entry barriers and monitoring costs in the media sector have political consequences, not just ordinary product-market consequences.

2 Incremental contribution of the paper

2.1 Relative to standard political agency models

Canonical political-agency models ask whether voters can discipline incumbents using observable performance. Besley and Prat add an explicit media sector between politicians and voters. Information is no longer exogenous: it is produced by media outlets that can be influenced by the incumbent. This turns accountability into a joint outcome of electoral incentives and media-market organization.

2.2 Relative to empirical work on media and politics

Much empirical work shows that media access and press freedom correlate with government responsiveness, public spending, corruption, and turnout. This paper gives a theory of why those links arise. It explains how media ownership concentration, state ownership, and entry barriers can affect corruption and turnover through their effect on the government’s ability to suppress bad news.

2.3 Relative to simple ideas about press freedom

The paper’s key insight is that legal press freedom and actual media independence are different. A media outlet may be legally free to report bad news but economically induced not to do so. The model therefore shifts attention from formal censorship to the economic institutions that make capture expensive or cheap.

2.4 Main conceptual novelty

The paper defines media independence as a high transaction cost between government and media owners. Independent ownership is not merely a normative label; it is an economic property: the harder it is for government to transfer benefits to media owners, the less likely media capture becomes.

3 Baseline model

3.1 Players and timing

The baseline model has an incumbent, voters, a challenger, and n media outlets. There are two periods. In period 1, the incumbent is exogenously in office. At the end of the first period, voters decide whether to reelect the incumbent or replace her with a challenger of unknown type.

3.2 Incumbent type

The incumbent’s type is

$$\theta \in \{b, g\},$$

where g denotes a good incumbent and b denotes a bad incumbent. The prior probability that the incumbent is good is

$$\mathbb{P}(\theta = g) = \gamma.$$

A good incumbent delivers voter payoff 1. A bad incumbent delivers voter payoff 0. In the baseline model this is pure adverse selection: the incumbent’s behavior is fixed by type, and voters want to learn the incumbent’s type.

3.3 Media information

If the incumbent is good, media outlets observe no verifiable bad signal. If the incumbent is bad, media outlets receive a verifiable signal with probability q :

$$\Pr(s = b \mid \theta = b) = q, \quad \Pr(s = \emptyset \mid \theta = b) = 1 - q.$$

Only verifiable information can be reported. This rules out fabricated scandals and focuses the model on suppressing real information.

3.4 Commercial media revenue

Media outlets earn audience-related revenue when they report news. If m outlets report the same news, each gets

$$\frac{a}{m},$$

where a is the monopoly commercial value of being the outlet that reveals the bad news. If an outlet has no news, its commercial revenue is normalized to zero. The key feature is that the commercial return to reporting falls when more outlets report the same information.

3.5 Government transfers and transaction costs

If bad news exists, the incumbent can offer each outlet i a transfer $t_i \geq 0$. If outlet i accepts, it suppresses the signal. A transfer costs the incumbent t_i but gives the outlet only

$$\frac{t_i}{\tau},$$

where $\tau \geq 0$ captures the transaction cost of influence. A larger τ means that it is harder for government to turn political resources into media-owner benefits.

3.6 Office rents

The incumbent gets rent r if reelected. Thus, a bad incumbent is willing to pay to suppress bad news only if doing so costs less than the office rent preserved by reelection.

4 Main baseline result

4.1 Why the bribe must be large

Suppose all other outlets accept the incumbent's offer and outlet i rejects. Then outlet i becomes the only outlet to break the scandal and earns the full monopoly commercial value a . Thus, to buy outlet i 's silence, the incumbent must compensate it for this outside option. Since transfers are dissipated by transaction costs, the incumbent must pay

$$t_i = \tau a$$

to each outlet.

4.2 Capture condition

To suppress bad news, the incumbent must pay all n outlets. The total cost is

$$n\tau a.$$

The incumbent captures the media if and only if this cost is less than the rent from reelection:

$$n\tau a < r.$$

Equivalently, media are independent when

$$n \geq \frac{r}{\tau a}.$$

4.3 Proposition 1

The baseline equilibrium has two cases:

- If $n < r/(\tau a)$, the media industry is captured. Each outlet suppresses its information in exchange for a transfer equivalent to its foregone monopoly news value.
- If $n \geq r/(\tau a)$, the media industry is independent. Each outlet truthfully reports its information.

4.4 Economic interpretation

The result gives three direct determinants of media capture:

1. **Plurality:** More independent outlets increase the total cost of buying silence.
2. **Commercialization:** A larger a means outlets have more to lose by not reporting a valuable story.
3. **Independence:** A larger τ means government transfers are less effective at buying media cooperation.

Capture is also more likely when the office rent r is large.

5 Political consequences in the baseline model

5.1 If media are captured

When media are captured, voters never learn bad news. A bad incumbent is not identified, and voters treat the incumbent like a randomly drawn politician. The incumbent is retained, and political turnover is zero in the pure equilibrium considered by the paper.

5.2 If media are independent

When media are independent, a bad incumbent is exposed with probability q . Since the probability of a bad incumbent is $1 - \gamma$, political turnover is

$$q(1 - \gamma).$$

Voters are better off because bad incumbents are sometimes replaced by challengers drawn from the same prior distribution, with probability γ of being good.

5.3 Proposition 2

Political turnover, voter welfare, and total audience-related media revenue are nondecreasing in

$$q, \quad n, \quad a, \quad \tau.$$

The first variable q increases the probability that media find verifiable information. The other three variables mainly operate by making media capture harder.

6 Empirical motivation and suggestive evidence

6.1 Cross-country patterns

The paper provides simple cross-country evidence linking media ownership to political outcomes. Table 1 compares countries by state ownership and concentration in newspaper markets.

- Countries with high state ownership of newspapers have chief executives who have been in office much longer on average.
- Countries with high state ownership also have higher corruption scores.
- Countries with high ownership concentration display similar patterns: lower turnover and higher corruption.

6.2 Interpretation

The empirical exercise is not a causal design. The paper uses it as motivating evidence consistent with the theory. State ownership can be interpreted as lowering the transaction cost τ because the government can more easily influence state media. Concentrated ownership reduces the number of independent outlets n , making capture easier.

7 Extension 1: moral hazard and corruption

7.1 Motivation

The baseline model is pure adverse selection: politicians are good or bad, and the media help voters identify the bad ones. The moral-hazard extension allows bad politicians to choose how much rent to extract. Media then have a disciplinary role as well as a screening role.

7.2 Rent extraction

Let the bad incumbent choose rent extraction

$$y \in [0, 1].$$

The remaining payoff $1 - y$ goes to voters. A good incumbent chooses $y = 0$. A bad incumbent values rent and chooses y strategically because higher rent extraction makes detection more likely.

7.3 Detection probability

The probability of detection is

$$\Psi(y)q,$$

where $\Psi'(y) \geq 0$ and $\Psi''(y) > 0$. Higher rent extraction is easier to detect, and higher media activity q raises detection probability.

7.4 Bad incumbent's rent choice

The bad incumbent solves

$$\max_y \{y + 1 - \Psi(y)q\}.$$

The first-order condition is

$$\Psi'(\hat{y})q = 1.$$

Thus,

$$\frac{d\hat{y}}{dq} < 0.$$

More active media reduce rent extraction.

7.5 Turnover is ambiguous

Turnover is

$$\rho(q) = \Psi(\hat{y}(q))q(1 - \gamma).$$

Increasing q has two offsetting effects:

- **Screening effect:** holding rent fixed, a higher q makes corruption more likely to be detected.
- **Discipline effect:** a higher q induces bad incumbents to steal less, which makes them harder to catch.

Therefore, turnover can rise or fall with media activity.

7.6 Welfare still rises

Even though turnover is ambiguous, voter welfare rises with media activity. More active media reduce rent extraction and improve discipline. Expected rents extracted by bad incumbents fall.

7.7 Proposition 3

With both moral hazard and adverse selection, media activity has an ambiguous effect on turnover, but voter welfare is increasing in q and expected rents are decreasing in q .

8 Extension 2: endogenous media entry

8.1 Setup

Potential media outlets can enter by paying fixed cost c . Once active, they receive informative signals with probability q as in the baseline model. The assumption $qa > c$ ensures that at least one outlet would enter when media are independent.

8.2 Entry without capture

If media are independent, an entrant's expected commercial revenue is roughly

$$\frac{qa}{m},$$

where m is the number of active outlets. Free entry pushes the number of outlets toward the level where marginal revenue equals cost:

$$\frac{qa}{m} = c.$$

Ignoring integer constraints, this gives

$$m = \frac{qa}{c}.$$

8.3 Capture with endogenous entry

The incumbent is willing to buy off at most about

$$\frac{r}{\tau a}$$

outlets. The paper expresses the exact integer-adjusted number using its $\text{mod}(\cdot)$ notation.

8.4 Proposition 4

The media industry is independent when the independent-entry number is larger than the number the incumbent is willing to buy off:

$$\text{mod}(qa/c) > \frac{r}{\tau a}.$$

The media industry is captured when

$$\text{mod}(qa/c) < \frac{r}{\tau a}.$$

8.5 Interpretation

Lower entry barriers increase the number of independent outlets and make capture harder. This is why media-entry regulation, licensing constraints, limits on foreign ownership, and other barriers can have political consequences beyond ordinary consumer welfare effects.

9 Extension 3: endogenous monitoring quality

9.1 Motivation

In reality, outlets differ in investigative capacity. Some invest heavily in reporters and investigative infrastructure, while others mostly reproduce public information. The paper models this by letting outlets choose their monitoring level.

9.2 Detection technology

Each media outlet i chooses monitoring capacity

$$q_i \in [0, 1]$$

at cost $c(q_i)$, where $c(\cdot)$ is increasing and convex. A random difficulty variable v is drawn uniformly on $[0, 1]$. Outlet i obtains verifiable bad news if

$$v \leq q_i.$$

9.3 Potentially captured outlets

Order outlets by monitoring capacity:

$$q_1 \geq q_2 \geq \dots \geq q_n.$$

Let

$$M = \text{mod} \left(\frac{r}{\tau a} \right)$$

be the maximum number of informed outlets the incumbent is willing to buy off. If at most M outlets observe the news, the incumbent captures them. If more than M observe it, the incumbent gives up.

9.4 Equilibrium quality profile

The first M outlets are potentially captured. Their marginal return to monitoring is the monopoly value of being bought off, so they invest in high monitoring capacity. Lower-tier outlets invest less because their revenue comes only from audience share.

9.5 Lemma 5

Let $\hat{q}(k)$ solve

$$c'(q) = \frac{a}{k}.$$

Then the first M outlets choose $\hat{q}(1)$, and the lower-ranked outlets choose $\hat{q}(i)$ for $i \geq M + 1$. A bad incumbent is removed with probability $\hat{q}(M + 1)$.

9.6 Proposition 6

If monitoring costs are written as $c(q) = \kappa C(q)$, then turnover and voter welfare are nondecreasing in a and τ , and nonincreasing in κ . In words, voters benefit from high commercial returns to investigative reporting, high media independence, and low costs of journalistic monitoring.

9.7 Implication for media quality

The model predicts vertical differentiation in high-independence media markets. Some outlets invest heavily in investigative reporting; others operate with lower monitoring capacity. The paper interprets high vertical differentiation in the United States and United Kingdom as a healthy sign that media are competing for audience value rather than primarily for government favors.

10 Extension 4: capture through access rather than money

10.1 Motivation

In mature democracies, open cash bribes may be difficult. Governments can still influence outlets by selectively granting access, interviews, leaks, or scoops to friendly media.

10.2 Access as a transfer

Instead of monetary transfers, suppose the government can grant an interview or privileged access. Let $\pi(\hat{n})$ be the commercial value of access when $\hat{n}$ outlets receive it. This value is decreasing in $\hat{n}$: an exclusive interview is more valuable than a widely shared one.

10.3 Proposition 7

If the government captures media by offering privileged access, the media industry is captured if and only if

$$\pi(n) > a.$$

Because $\pi(n)$ falls as n rises, media pluralism again makes capture harder. When many outlets receive the same “exclusive” access, the value of access is diluted, while the value of being the sole outlet to break bad news remains large.

11 Interpretation of key mechanisms

11.1 Why pluralism matters even without ideological diversity

A useful feature of the model is that outlets are identical and there is no horizontal differentiation. Pluralism matters purely because it makes total capture expensive. The government does not need to fear that outlets have different ideologies; it needs to fear that at least one outlet will refuse and become the monopoly revealer of the scandal.

11.2 Why state ownership is dangerous

State ownership can lower τ , the transaction cost of influence. If the government already owns the outlet, it may not need to pay explicit bribes. It can appoint managers, shift budgets, change staffing, or signal career consequences. In the model, all of these mechanisms operate like a low cost of inducing silence.

11.3 Why concentrated ownership is dangerous

Concentration reduces the effective number of independent media owners. Even if there are many outlets, if they are owned by the same firm or politically connected group, the government may need to bargain with only a few actors. The model’s n should be interpreted as the number of genuinely independent news producers, not merely the number of newspaper titles or television channels.

11.4 Why commercialization can help accountability

A larger a makes bad news commercially valuable. This gives outlets an outside option against government capture. Thus, market incentives can support political accountability when audience demand rewards investigative reporting.

11.5 Why barriers to entry have political costs

Entry barriers reduce n and make media capture cheaper. Standard antitrust analysis focuses on prices, advertising rates, and consumer surplus. This paper adds an accountability margin: a media market with too few independent voices can make elections less informative.

12 Read Table 1

12.1 What the table does

Table 1 uses a cross-country sample of 88 countries. It compares two outcomes:

- years in office of the chief executive;
- a corruption index from the International Country Risk Guide.

It splits countries by state ownership of newspapers and by newspaper ownership concentration.

12.2 State ownership comparison

Countries with low state ownership of newspapers have chief executives in office for 5.23 years on average. Countries with high state ownership have chief executives in office for 12.44 years on average. The difference is 7.21 years, with standard error 1.82. Corruption is also higher under high state ownership: 3.66 versus 2.41.

12.3 Concentration comparison

Countries with low newspaper ownership concentration have chief executives in office for 5.33 years on average. Countries with high concentration have 10.79 years. Corruption is also higher: 3.51 versus 2.36.

12.4 Caveat

The table is descriptive, not causal. Countries with state media or concentrated ownership differ along many dimensions. The value of the table is that the correlations line up with the theory: lower media independence and lower media pluralism are associated with lower political turnover and higher corruption.

13 Table from the paper

TABLE 1—THE RELATIONSHIP BETWEEN STATE OWNERSHIP, CONCENTRATION, TURNOVER, AND CORRUPTION

	Low state ownership of newspapers (1)	High state ownership of newspapers (2)	Difference between columns (1) and (2)— standard error in parentheses (3)	Low concentration in ownership of newspapers (4)	High concentration in ownership of newspapers (5)	Difference between columns (4) and (5)— standard error in parentheses (6)
Years in office of chief executive	5.23	12.44	7.21 (1.82)	5.33	10.79	5.46 (1.78)
Corruption	2.41	3.66	1.24 (0.26)	2.36	3.51	1.16 (0.25)

Notes: All data are computed for a consistent sample of 88 countries for which all data are available—which is essentially the sample in Djankov et al. (2004). The number of years in office of the chief executive (typically prime minister or president) is taken from Thorsten Beck et al. (2001) and denotes the value as in 1997. The mean of this variable in our sample is 7.44, with a standard deviation of 8.53. The corruption measure is from the International Country Risk Guide for 2001. The variable is measured on a seven point scale (0–6) where the highest level of corruption is 6. The mean of this variable in our sample is 2.79 and the standard deviation is 1.28. The measure of state ownership and concentration is from Djankov et al. (2004). Low state ownership is defined as the state owning less than 30 percent of the market share among the top five newspapers in each country. The mean of state ownership of newspapers is 29.6 percent. Concentration of ownership is a dummy variable equal to one if the top five outlets own more than 75 percent of the newspaper market regardless of the form of ownership. Of 88 countries in our sample, 39 percent are classified as concentrated by this measure.

Table 1. The relationship between state ownership, concentration, turnover, and corruption.

14 Strengths and limitations

14.1 Strengths

- The model gives a clean, memorable condition for media capture: $n\tau a < r$.
- It explains why ownership structure matters for accountability, not only for media-market competition.
- It distinguishes formal press freedom from effective media independence.
- It connects media pluralism to electoral turnover and corruption through a transparent mechanism.
- The extensions show that the results do not depend on literal cash bribery: influence can work through access, entry barriers, and monitoring incentives.

14.2 Limitations

- The baseline model assumes hard, verifiable information and rules out fabrication or rumors.
- The media outlets initially observe the same signal; in reality, outlets often differ in sources and expertise.
- Voters are homogeneous and perfectly understand the strategic environment.
- The empirical evidence is suggestive and cross-sectional, so causal interpretation requires caution.
- The model focuses on political capture by government; other forms of media bias, such as ideology, reader demand, advertiser pressure, or corporate capture, are outside the baseline model.

15 What to remember

1. Media capture can occur without formal censorship.
2. The government must silence all outlets that can reveal verifiable bad news.
3. Media plurality raises the cost of total silence.
4. Independent ownership raises the transaction cost of influence.
5. Commercial incentives can support accountability when bad news is valuable to audiences.
6. Endogenous entry means media-market barriers can become political-accountability barriers.
7. With moral hazard, better media may reduce corruption even when turnover does not rise.
8. Access journalism can function like a bribe when privileged access is commercially valuable.
9. The core policy question is not only whether the press is legally free, but whether the media market is structured so that capture is expensive.

16 Possible exam or discussion questions

16.1 Conceptual questions

1. Why does each outlet need to be paid τa rather than $\tau a/n$ to suppress a scandal?
2. How does the model distinguish legal press freedom from effective media independence?
3. Why can media activity have an ambiguous effect on turnover when moral hazard is added?
4. Why can government access to politicians operate like a transfer to media outlets?
5. How should one interpret n when many newspapers are controlled by one owner?

16.2 Policy questions

1. Should media mergers be evaluated only under standard antitrust criteria?
2. How do foreign ownership restrictions affect the risk of media capture?
3. When could privatizing state media improve accountability?
4. How can institutions raise τ , the transaction cost of government influence?
5. How should regulators weigh media pluralism against economies of scale in media production?

17 Summary formula

Object	Meaning
n	Number of independent active media outlets.

a	Commercial value of being the monopoly outlet reporting bad news.
τ	Transaction cost of government influence over media.
r	Incumbent's rent from reelection.
q	Probability that media obtain verifiable bad news about a bad incumbent.
γ	Prior probability that the incumbent is good.
$n\tau a < r$	Baseline condition for media capture.
$q(1 - \gamma)$	Political turnover in the independent-media baseline.
$\Psi'(\hat{y})q = 1$	Bad incumbent's rent-extraction first-order condition in the moral-hazard extension.
$\text{mod}(qa/c) > r/(\tau a)$	Entry condition under which the media industry is independent.
$\pi(n) > a$	Capture condition when access, rather than cash, is the influence instrument.
